thereby to help control liquidity in the financial system. CRISIL provided credit rating of debt instruments and also provided information on corporate performance. SEBI was set up to provide a measure of order in the operations of the capital market in general and the stock exchange in particular. In the field of housing with the setting up of the National Housing Bank, that institution assumed the role of regulator for the housing finance system and also opened a refinance window under which housing finance institutions could seek refinance of a part of their loan portfolio, provided they observed certain guidelines.

Parekh emphasized that the development of a housing finance facility merely addressed the demand side of the equation. The greater task ahead according to him lay in the modernization of the housing industry and its technical components—the supply side of the equation. The effectiveness of housing finance crucially depends on the development of the housing industry as well as the manner in which the industry can control costs. Parekh emphasized that it was vital for policy makers to examine both the supply and demand side of the housing market. HDFC has attempted to introduce a housing finance system robust enough to develop in accordance with the growth and diversification of the housing industry. Parekh could not have put it any better when he observed, 'In the end, the housing sector is intimately intertwined with the financial system. HDFC's own name was constituted from the three words which when fused together, constitute the interlocking of these key areas: Housing, Finance and Development.'[36]

THE FOUNDER STEPS DOWN

In February 1993, the Board of Directors of HDFC reluctantly accepted Parekh's resignation as Chairman and also from the Board of HDFC. Parekh had been insisting for several years that he be allowed to retire but was persuaded to continue. With his handing over the baton to Deepak, an era in the evolution of the HDFC had ended. When Parekh retired as the HDFC Chairman in 1993, Keshub Mahindra refused to step into the Chairman's shoes. He strongly felt that Deepak Parekh deserved to be the Chairman and preferred to continue as the Vice Chairman.

It was only fitting that the year 1993–94 was one of unprecedented achievement for HDFC with pre-tax profits recording an increase of 78